

AI Governance

GLOSSARY 06 - SHEET 5 / 8

The structures and processes by which an organisation directs and controls its AI activity

PROFESSIONAL DEFINITION

AI governance is the system of structures, decision rights, policies, processes and controls by which an organisation directs its AI activity and holds itself accountable for the outcomes. In the standardised form it comprises four functions - govern, map, measure and manage - of which govern is a culture and accountability function running across the other three rather than a preliminary stage (NIST, 2023; ISO/IEC, 2023).

WHO DEFINED IT ORIGINALLY

The AI Risk Management Framework was published by the United States National Institute of Standards and Technology in January 2023 following a public consultation process. ISO/IEC 42001:2023, the AI management system standard, provides the certifiable counterpart. Both were designed to align with the emerging EU regulatory requirements without being specific to them.

WHY THIS DEFINITION WAS DEVELOPED

Organisations were managing AI risk within existing model-risk or IT-governance functions, which addressed neither the data dependency nor the sociotechnical harms that AI systems generate. A dedicated framework was needed that was voluntary, sector-neutral and capable of being mapped onto multiple regulatory regimes, since firms operate across jurisdictions with divergent rules.

HOW IT IS USED

Map the AI system inventory and its context, measure the risks with defined metrics, manage them through prioritised controls, and treat govern as the continuous accountability layer in which decision rights and escalation paths are fixed.

WHEN IT IS USED

At the establishment of an AI function, before high-risk deployment, at periodic risk review, in preparation for conformity assessment or certification, and after any incident.

BY WHOM IT IS USED

Boards and audit committees, chief risk officers and AI governance leads, internal audit testing the controls, and business owners of individual systems.

FIGURE 1 - FOUR GOVERNANCE FUNCTIONS

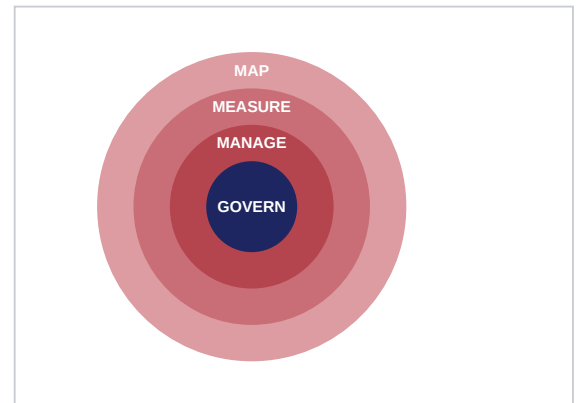


Figure 1. Govern is drawn at the centre because it is a continuous accountability function rather than a first step. Where decision rights and escalation paths are undefined, mapping, measurement and management produce documentation without control (after NIST, 2023).

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Its predecessor was model risk management as codified for banking - notably the Federal Reserve's SR 11-7 - which assumed a documented, statistically validated model with an identifiable owner and a stable input distribution. The AI framework extends governance to data provenance, sociotechnical harm, third-party and general-purpose models, and continuous post-deployment monitoring, none of which the model-risk tradition addressed. Its structure as a voluntary framework mappable to several regimes is what allows one control set to serve multiple jurisdictions.

RELATED DEFINITIONS IN THIS COURSE

[EU AI Act - Unit 6](#)
[Decision Rights - Unit 2](#)
[MLOps - Unit 4](#)
[Accountability Gap - Unit 6](#)
[AI Operating Model - Unit 3](#)

SOURCES (HARVARD REFERENCING STYLE)

International Organization for Standardization and International Electrotechnical Commission (2023) ISO/IEC 42001:2023 Information Technology - Artificial Intelligence - Management System. Geneva: ISO.

National Institute of Standards and Technology (2023) Artificial Intelligence Risk Management Framework (AI RMF 1.0), NIST AI 100-1. Gaithersburg, MD: NIST.

Board of Governors of the Federal Reserve System (2011) Supervisory Guidance on Model Risk Management, SR 11-7. Washington, DC: Federal Reserve.